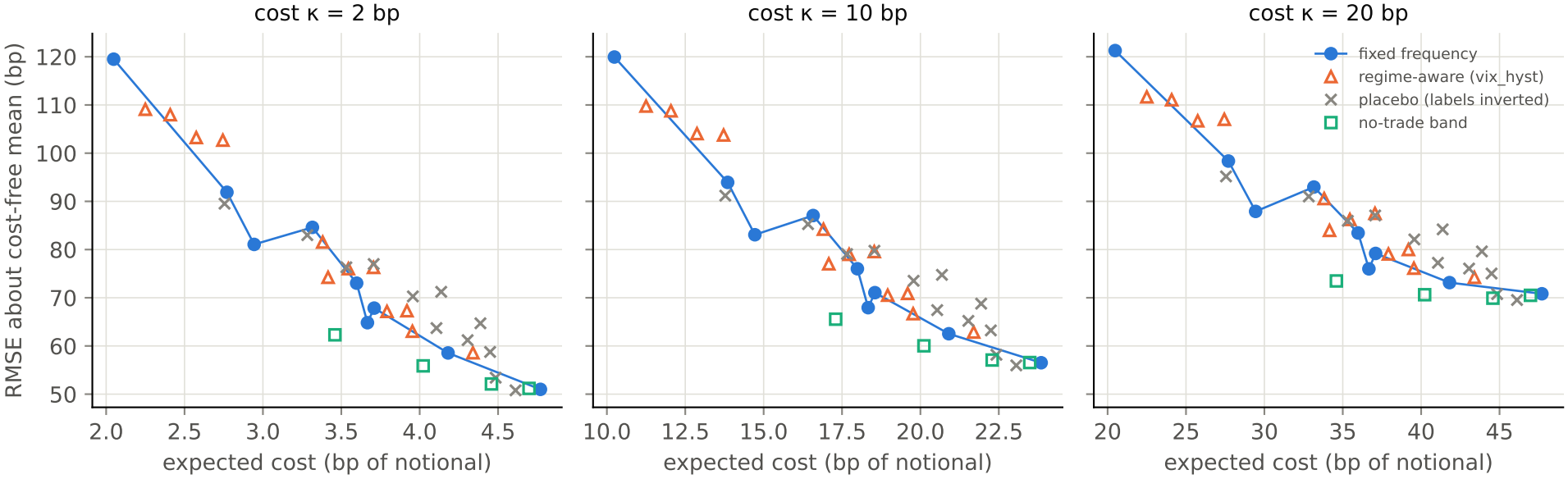
cost κ = 2 bp
cost κ = 10 bp
cost κ = 20 bp
RMSE about cost-free mean (bp)
120
110
100
90
80
70
60
50
2.0
2.5
3.0
3.5
4.0
4.5
10.0
12.5
15.0
17.5
20.0
22.5
20
25
30
35
40
45
expected cost (bp of notional)
expected cost (bp of notional)
expected cost (bp of notional)
fixed frequency
regime-aware (vix_hyst)
placebo (labels inverted)
no-trade band